SECOND HOME – PURCHASE				
Property Type	**Maximum LTV**	**Maximum CLTV/HCLTV**	**Minimum Credit Score**	**Underwriting Engine & Required Response**
1-Unit Warrantable Condo PUD	90%	90%	720	DU – *Approve/Eligible*

SECOND HOME – RATE/TERM REFINANCE				
Property Type	**Maximum LTV**	**Maximum CLTV/HCLTV**	**Minimum Credit Score**	**Underwriting Engine & Required Response**
1-Unit Warrantable Condo PUD	90%	90%	720	DU – *Approve/Eligible*
Manufactured Home (double-wide) [1]	70%	Subordinate financing not eligible	720	DU – *Approve/Eligible*

SECOND HOME – CASH-OUT REFINANCE				
Property Type	**Maximum LTV**	**Maximum CLTV/HCLTV**	**Minimum Credit Score**	**Underwriting Engine & Required Response**
1-Unit Warrantable Condo PUD	75%	75%	720	DU – *Approve/Eligible*

INVESTMENT PROPERTY – PURCHASE				
Property Type	**Maximum LTV**	**Maximum CLTV/HCLTV**	**Minimum Credit Score**	**Underwriting Engine & Required Response**
1-Unit Warrantable Condo PUD	85%	85%	720	DU – *Approve/Eligible*
2-4 Unit	75%	75%	720	

INVESTMENT PROPERTY – RATE/TERM REFINANCE				
Property Type	**Maximum LTV**	**Maximum CLTV/HCLTV**	**Minimum Credit Score**	**Underwriting Engine & Required Response**
1-Unit Warrantable Condo PUD	75%	75%	720	DU – *Approve/Eligible*
2-4 Unit	75%	75%	720	

INVESTMENT PROPERTY – CASH-OUT REFINANCE				
Property Type	**Maximum LTV**	**Maximum CLTV/HCLTV**	**Minimum Credit Score**	**Underwriting Engine & Required Response**
1-Unit Warrantable Condo PUD	75%	75%	720	DU – *Approve/Eligible*
2-4 Unit	70%	70%	720	DU – *Approve/Eligible*

1. **Manufactured homes are only eligible on the 30 and 15-year fixed product. Purchase transactions are not eligible for manufactured homes. Manufactured home loan purpose type is restricted to rate/term refinance of a Flagstar serviced loan. Refinance loans not currently serviced by Flagstar are not eligible. Adjustable-rate loans are not eligible.**

PROGRAM SUMMARY

Fixed and adjustable-rate, fully amortizing, conventional conforming and high balance first lien mortgage loan program specifically designed for borrowers with 7 to 10 financed properties.

PRODUCTS OFFERED

Product Name	Term	ARM Disclosure	Manufactured Housing Allowed?
Fannie Mae Multiple Property 30-Year Fixed	30 years	NA	Yes
Fannie Mae Multiple Property 15-Year Fixed	15 years		
Fannie Mae Multiple Property 5/6 SOFR ARM	30 years	Doc #3383 or Equivalent	No
Fannie Mae Multiple Property High Balance 30-Year Fixed	30 years	NA	Yes
Fannie Mae Multiple Property High Balance 15-Year Fixed	15 years		Yes
Fannie Mae Multiple Property High Balance 5/6 SOFR ARM	30 years	Doc #3383 or Equivalent	No

LOAN AMOUNTS

MAXIMUM

Maximum standard conforming and high balance loan limits for 1 to 4-unit properties. See *Fannie Mae High Balance*, Doc. #5346 for eligible locations.

ELIGIBLE PROPERTY TYPES

- 1 to 4-unit properties
- Fannie Mae/Freddie Mac-warrantable condominiums
- Planned Unit Developments (PUD)
- Manufactured homes (double-wide only)

INELIGIBLE PROPERTY TYPES

- Non-Fannie Mae/Freddie Mac-warrantable condominiums
- Cooperative properties
- Manufactured homes (single-wide)

MINIMUM CREDIT SCORES

Refer to the *Product Eligibility Grids* above

QUALIFYING RATE

FIXED

Note rate

ARM

Greater of the note rate plus 2% or the fully indexed rate

QUALIFYING RATIOS

Determined by Desktop Underwriter (DU)

SUBORDINATE FINANCING

Refer to the *Subordinate Financing* section of the *Conventional Underwriting Guidelines* for details.

Community seconds subsidized subordinate financing is not eligible.

INTERESTED PARTY CONTRIBUTIONS

Interested party contributions include funds contributed by the property seller, builder, real estate agent/broker, mortgage lender, or any other party with an interest in the real estate transaction. Interested party contributions may be used exclusively to cover closing costs and prepaid expenses.

Property Type	Maximum Contribution	
CLTV	Up to 75%	75.01-90%
Second Home	Maximum 9%	Maximum 6%
Investment Property	Maximum 2%	Maximum 2%

UNDERWRITING

All loans must meet the parameters as set out in Flagstar's *Conventional Underwriting Guidelines*.

- Borrowers own between 7-10 financed properties. (This applies to the total number of properties financed, not just the number of mortgages sold to Fannie Mae).
- For Flagstar policies on Multiple Loans to the Same Borrower, see Conventional Underwriting Guidelines.
- DU will determine the number of financed properties for the loan casefile based on the following:
  - If the Number of Financed Properties field is completed, DU will use that as the number of financed properties. The lender must complete this field with the number of financed one- to four-unit residential properties (including the subject transaction) for which the borrower(s) are personally obligated.
  - If the Number of Financed Properties field is not provided, DU will use the number of residential properties in the REO section that include a mortgage payment, or that are associated with a mortgage or HELOC in the liabilities section of the loan application, as the number of financed properties.
  - If the Number of Financed Properties field and the REO information was not provided, DU will use the number of mortgages and HELOCs disclosed in the liabilities section of the loan application as the number of financed properties.
  - When none of the information above is provided on the loan application, DU will use the number of mortgages and HELOCs disclosed on the credit report as the number of financed properties.
- DU will issue a message informing the lender of the number of financed properties that DU used and where that information was obtained (Number of Financed Properties field, REO section, number of mortgages on application or number of mortgages on credit report). If DU used the information provided in the Number of Financed Properties field or in the REO section as the number of financed properties, and that information is inaccurate, the lender must update the data and resubmit the loan casefile to DU. If DU used the number of mortgages and HELOCs on the loan application or credit

report as the number of financed properties, and that number is inaccurate, the lender must provide the correct number in the Number of Financed Properties field, or complete the Real Estate Owned section of the loan application and resubmit the loan casefile to DU.

RESERVES

6% of the aggregate Unpaid Principal Balance (UPB). The aggregate UPB calculation does not include the mortgages or HELOCs that are on:

- The subject property
- The borrower's principal residence
- Properties that are sold or pending sale, and
- Accounts that will be paid by closing

DU will include in the UPB calculation open mortgages or HELOCs on the credit report that are not disclosed on the online loan application.

MORTGAGE INSURANCE

Mortgage insurance providers may have additional restrictions not listed within this document. Due to rapid changes within the industry, please refer to each mortgage insurance company's website for complete details.

STANDARD MORTGAGE INSURANCE GUIDELINES

All loans above 80% LTV require mortgage insurance coverage according to the following guidelines.

LTV	30-Year	15-Year
85.01 – 90%	25%	12%
80.01 – 85%	12%	6%

NEW YORK PROPERTIES

See *Conventional Underwriting Guidelines*.

TEXAS REFINANCE LOANS

All refinance loans in Texas will be evaluated against the criteria outlined in our Texas Refinances section to determine if the loan must be originated under the requirements of Section 50(a)(6) of the Texas Constitution. Refer to *Texas Homestead 50(a)(6) Refinance*, Doc. #5907 for eligibility, documentation/disclosure, and title/closing requirements.

STATE ELIGIBILITY

Available in the following states/territories with restrictions. Those not listed are available without restrictions.

State	Restriction
Puerto Rico	Ineligible
US Virgin Islands	MI is not available

PREPAYMENT PENALTY

None

ADJUSTABLE-RATE DETAILS

Interest Rate Adjustment Caps	Initial – 2% up/down; Subsequent – 1% up/down; Lifetime – 5% up

Margin	See *Price Indication Sheet*
Index	30 Day SOFR (Secured Overnight Financing Rate)
Interest Rate Floor	The interest rate Floor is equal to the Margin
Change Dates	The first change date is the 60th payment due date. There is a new change date every 6 months thereafter.
Conversion Option	None
Assumption	Subject to conditions, fees and rate adjustment
Negative Amortization	None

CLOSING DOCUMENTATION – CORRESPONDENT TRANSACTIONS

Closing docs may be ordered through Flagstar's Web Based Closing Docs (WBCD) service available in the system.

30-YEAR FIXED-RATE

- Fannie Mae/Freddie Mac Uniform Security Instrument, 3000-series.
- Fannie Mae/Freddie Mac multi-state Fixed Rate Note, 3200-series.
- Standard title commitment with all applicable endorsements.

5/6 SOFR ARMS

- Fannie/Freddie multi-state Adjustable-Rate Note, Form# 3442.
- Fannie/Freddie multi-state Adjustable-Rate Rider, Form# 3142.
- Standard title commitment with all applicable endorsements, including the variable-rate endorsement (ALTA 6.1).

IF APPLICABLE

- Fannie Mae/Freddie Mac multi-state Condo Rider, Form# 3140.
- Fannie Mae/Freddie Mac multi-state PUD Rider, Form# 3150.
- Fannie Mae/Freddie Mac multi-state 1-4 Family Rider, Form# 3170, (investment property mortgages).
- Fannie Mae/Freddie Mac multi-state Second Home Rider, Form# 3890.